trading range. The third buy, the one at E, was also spectacularly bad. The stock dropped after I bought. The “easy win” was anything but.

On 13 January 2020 (G), I decide to sell. “Order details: I sold it all yesterday just before it gained a point. Sell reason: Weakness. I don't see this making an explosive move upward like the tech stocks, so I can better put the $ to use elsewhere.”

Indeed, the stock wasn't finished going down. When Covid-19 hit, it took the stock all the way down to bottom at 20 in March, a drop of 55% below my sale price.

On the first trade, I lost 2%, the middle one made me 21%, and I gave back 9% on the third trade. That's with dividends included.

- Lesson: Even buy-and-hold positions go bad. A timely sale of the first position would have been at H, below the extension's low.
- Lesson: The second trade would have been perfect had I sold at E instead of buying more.
- Lesson: The third trade should have been sold as soon as it became clear I had made a mistake.

Sample Trade

Figure 70.5 shows this chapter's sample trade Jake made.

The stock started forming the V at G, but Jake didn't recognize it at that point. No one would see the potential for the pattern then. Price made an amazing straight-line run down (A) from around 6 to below 2 in about two months, for a drop of 69%. *Ouch!*